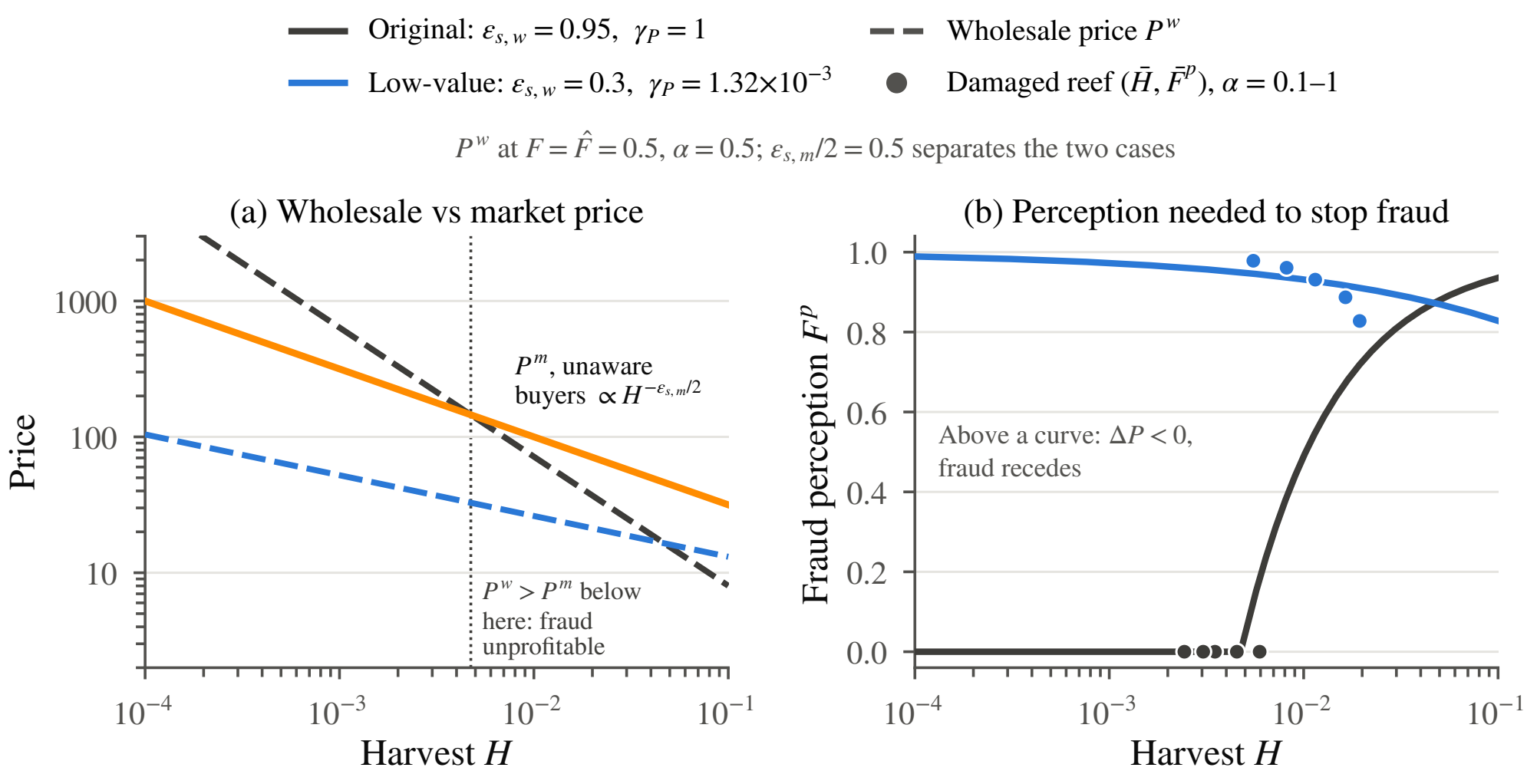
Original: $\varepsilon_{s,w} = 0.95,\ \gamma_P = 1$
Low-value: $\varepsilon_{s,w} = 0.3,\ \gamma_P = 1.32\times10^{-3}$
Wholesale price P^w
Damaged reef $(\bar{H}, \bar{F}^p)$, $\alpha = 0.1$–1
P^w at $F = \hat{F} = 0.5$, $\alpha = 0.5$; $\varepsilon_{s,m}/2 = 0.5$ separates the two cases
(a) Wholesale vs market price
Price
1000
100
10
P^m, unaware buyers $\propto H^{-\varepsilon_{s,m}/2}$
$P^w > P^m$ below here: fraud unprofitable
10^{-4}
10^{-3}
10^{-2}
10^{-1}
Harvest H
(b) Perception needed to stop fraud
Fraud perception F^p
1.0
0.8
0.6
0.4
0.2
0.0
Above a curve: $\Delta P < 0$, fraud recedes
10^{-4}
10^{-3}
10^{-2}
10^{-1}
Harvest H